

Central Bank Independence and Financial Regulation

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- Monetary policy is conducted independently in most Western countries
 - Trend of last 4 decades
- Which views get represented in an “independent” central bank?
- Research question: Do the backgrounds of central bank policymakers influence their views on financial sector regulation?
- Hypothesis: If a policymaker has extensive experience in finance, they will be more prone to support deregulation.
 - Implications for democracy & economic inequality
- Variables
 - X: Policymakers within central banks; Percent with extensive banking experience
 - Y: Individual votes on regulation; rhetoric in speeches; Active changes to supervision policy
- Analysis techniques: basic regression, speech analysis